

Equity: HK primary residential sales pace slows; Bond: OW LASUDE '26

Industry Overview

HK primary residential sales pace slows

HK has recorded ~240 primary residential transactions so far in June, a slowdown versus the 2,000+ monthly average over the past five months, as developers appear to be pacing new launches more cautiously. We attribute the deceleration to a negative wealth effect from recent local equity market weakness, renewed concerns over US rate hikes, and uncertainty stemming from Mainland China's newly announced offshore investment rules; we expect the latter overhang to persist near term until clearer implementation details emerge. — Karl Choi (Equity Research)

Central govt' financing subsidy to aid urban renewal

At a policy briefing held by the State Council, the Vice Minister stated that RMB 97bn from the central budget and RMB 160bn ultra-long-term special government bonds will be allocated to support local governments' urban renewal in 2026. Compared with the annual urban renewal investment exceeding RMB 3tn, the bulk of funding will be borne by local governments — including through special purpose bonds and policy bank lending. We continue to expect the incremental impact of the latest urban renewal program to be relatively minor. — Karl Choi (Equity Research)

China HY: yield +18bp to 9.6%; HK IG: sprd -3bp to 61bp

In the past week, the average yield of China HY property bonds (ex. VNKRL) widened 18bp WoW to 9.58%, which represents 162bp tightening YTD. There was no new issuance in the sector during past week, with YTD net redemption remaining at US\$1.4bn. For sector news, Beijing released implementation guidelines to promote high-quality urban development. Vanke received approval from banks to extend RMB1.184bn loans in total per Debtwire. Separately, United Overseas Bank (UoB) has assumed control of Midtown Manhattan's Bush Tower after Vanke defaulted on a US\$120mn loan per Octus. For HK, the average OAS of HK IG property bonds tightened 3bp WoW to 61bp. We are now [OW LASUDE '26 \(see report\)](#) which can offer an attractive alpha opportunity amid the HK property market recovery. Our OW is driven by (1) still decent upside based on Debtwire-reported LME terms and (2) c.1x interest coverage with gradual deleveraging backed by further asset & property sales. We also acknowledge the company's commitment to addressing its debt issue, reflected by its proactive asset sales. Key things to watch: completion of CCB Tower sale, progress in LME talks & further property/ asset sales. — *Sirius Chan* (Credit Research)

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OAS: option adjusted spread

YTD: year-to-date

VNKRL: China Vanke

NDRC: National Development and Reform Commission

Southbound: Mainland investors who invest in HK-listed stocks through stock connect program

CN: China

CREIS: China Real Estate Index System

See Exhibit 9 and 10 for list of tickers and corresponding issuer names.

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Southbound interest summary

Exhibit 1: Southbound interest summary on property names

Southbound interest in China developers edged down slightly in May

Stock code	Company name	10/27/2025	11/24/2025	12/31/2025	1/30/2026	2/28/2026	3/31/2026	4/30/2026	5/31/2026	MTD	Stake % as
		Stake %	Stake %	Stake %	Stake %	Stake %	Stake %	Stake %	Stake %	Chg pts	% of free float
China developers											
817	China Jinmao	16.77	17.04	17.76	17.31	17.76	18.75	19.31	19.02	(0.29)	39.47
119	Poly Property	27.37	27.34	27.32	27.35	26.46	25.31	23.07	20.89	(2.18)	40.26
3900	Greentown	28.23	30.09	30.48	30.57	30.32	30.95	31.13	30.47	(0.66)	80.87
81	COGO	14.83	15.07	14.50	15.25	15.25	15.65	16.34	16.78	0.44	38.99
2202	China Vanke	52.21	55.82	59.38	58.07	57.41	60.37	60.68	60.89	0.21	69.47
1813	KWG	6.69	6.64	6.55	6.53	6.52	6.50	6.49	6.48	(0.01)	15.55
272	Shui On	11.75	11.78	11.76	11.81	11.62	11.12	10.95	10.88	(0.07)	25.15
2777	Guangzhou R&F	10.16	9.80	9.54	9.16	9.01	8.72	8.55	8.38	(0.17)	19.19
1030	Seazen	19.83	19.57	19.91	19.40	20.53	21.57	21.94	22.29	0.35	63.89
410	SOHO	14.20	14.11	13.95	13.85	13.78	13.62	13.58	13.55	(0.03)	37.57
960	Longfor	9.51	9.93	10.61	10.89	10.92	11.54	11.76	11.80	0.04	32.99
3380	Logan	7.68	7.70	7.43	7.87	8.20	8.46	8.67	9.10	0.43	36.64
604	Shenzhen Investment	4.04	3.12	3.50	3.54	3.42	3.76	3.69	3.57	(0.12)	13.88
123	Yuexiu	14.15	13.84	12.66	12.66	13.15	13.30	13.57	14.26	0.69	41.07
3377	Sino-Ocean	6.50	6.35	6.31	5.96	5.92	5.82	5.75	5.36	(0.39)	8.92
688	COLI	5.14	5.47	5.49	6.36	6.75	6.64	6.80	6.90	0.10	15.74
813	Shimao	0.96	0.95	0.95	0.81	0.81	0.80	0.76	0.74	(0.02)	1.77
2007	Country Garden	14.43	14.92	15.33	16.76	17.18	17.60	17.77	18.03	0.26	28.67
1109	CR Land	9.78	10.44	10.52	11.03	11.87	12.45	12.51	12.82	0.31	31.70
3383	Agile	7.65	7.57	7.41	7.08	6.99	6.91	6.85	6.77	(0.08)	16.22
3883	Aoyuan	3.72	3.68	3.60	3.59	3.57	3.55	3.48	3.44	(0.04)	4.68
1966	China SCE	6.36	6.05	6.01	5.98	5.96	5.92	5.89	5.83	(0.06)	15.18
1908	C&D	7.19	7.38	9.25	9.88	12.04	13.47	15.40	15.69	0.29	37.27
Average		13.01	13.25	13.49	13.55	13.71	14.03	14.13	14.08	(0.04)	31.09
HK players											
17	New World	5.55	5.24	4.82	4.65	4.84	4.61	4.52	4.59	0.07	8.44
683	Kerry Prop	5.40	5.39	5.25	5.02	4.80	4.68	4.51	4.06	(0.45)	10.21
1113	CKA	3.33	3.37	3.40	3.35	3.24	1.88	1.67	1.48	(0.19)	3.51
16	SHKP	2.30	2.57	2.30	2.34	2.40	2.46	2.49	2.38	(0.11)	6.66
41	Great Eagle	2.61	2.61	2.71	2.74	2.68	2.57	2.50	2.45	(0.05)	15.33
101	Hang Lung Prop	7.69	7.92	7.96	7.01	6.44	5.95	5.80	5.75	(0.05)	16.08
4	Wharf	0.17	0.16	0.16	0.15	0.15	0.15	0.15	0.14	(0.01)	0.45
1997	Wharf REIC	1.09	1.11	1.14	1.06	1.08	1.08	1.07	1.02	(0.05)	2.10
12	Henderson	1.31	1.53	1.78	1.56	1.68	1.75	1.80	1.53	(0.27)	5.64
1972	Swire Prop	1.89	1.99	2.17	2.01	1.96	2.05	2.13	2.06	(0.07)	12.35
83	Sino Land	1.36	1.47	1.48	1.38	1.27	1.31	1.36	1.24	(0.12)	3.13
14	Hysan	3.04	3.18	3.12	3.12	2.93	2.81	2.82	2.61	(0.21)	4.57
10	Hang Lung Group	1.69	1.67	1.67	1.61	1.60	1.59	1.59	1.54	(0.05)	3.41
1686	SUNeVision	5.15	5.00	3.74	7.24	6.44	5.59	5.00	4.16	(0.84)	16.46
Average		3.04	3.09	2.98	3.09	2.97	2.75	2.67	2.50	(0.17)	7.74
HK conglo/port/logistics											
1	CK Hutchison	3.13	3.15	3.10	2.73	2.55	2.39	2.34	2.21	(0.13)	3.19
66	MTR CORPORATION	0.44	1.22	1.57	1.83	2.21	2.20	2.20	2.07	(0.13)	8.13
19	Swire Pacific	1.39	1.65	1.34	1.28	1.39	1.38	1.40	1.35	(0.05)	3.13

Source: CCASS; BofA Global Research

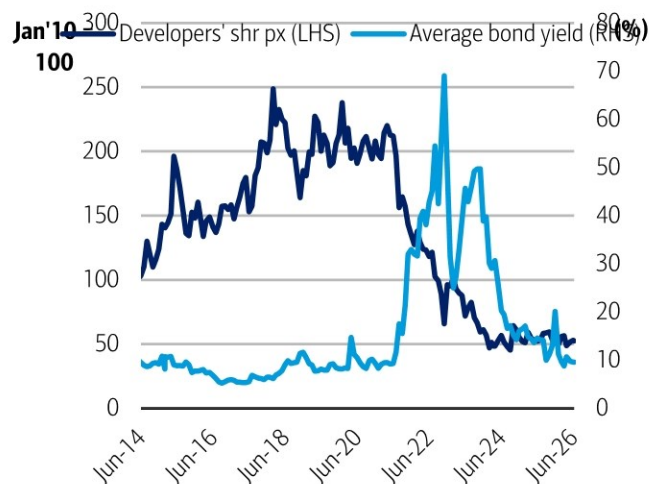
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Greater China property – Equity/bond performance

Exhibit 2: China Property Developers' bond yields vs. share prices

The average bond yield widened 18bp WoW to 9.58%, and the share price -0.9% WoW.

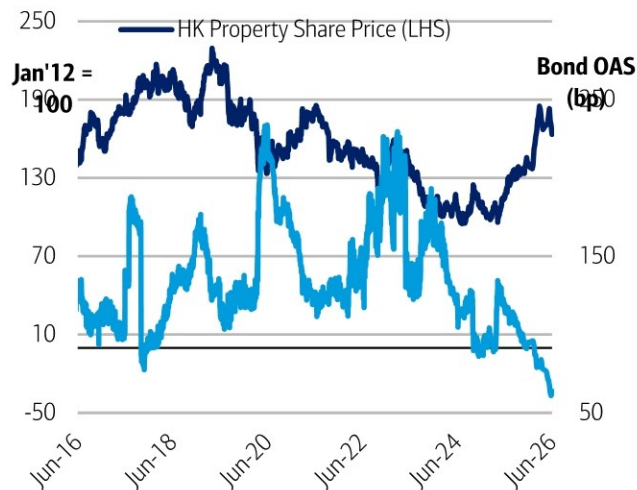


Source: BofA Global Research, Bloomberg, ICE Index. MTD = month to date. Shr px = share price. LHS = left hand side. RHS = right hand side. Note: exclude VNKRL (Vanke) from bond universe from 31 Dec 2025.

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Exhibit 3: Hong Kong property issuers' bond spreads vs. share prices

The average bond spread (OAS) tightened 3bp WoW to 61bp and the share price -7.2% WoW.

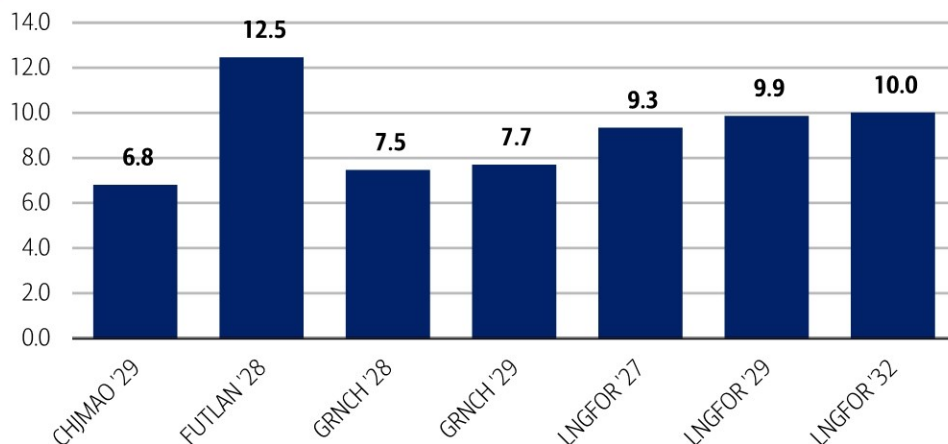


Source: BofA Global Research, Bloomberg, ICE Index. MTD = month to date. LHS = left hand side. RHS = right hand side

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Exhibit 4: YTM (%) of benchmark bonds for select Chinese HY property developers

The average yield of benchmark bonds widened 10bp WoW on average basis.

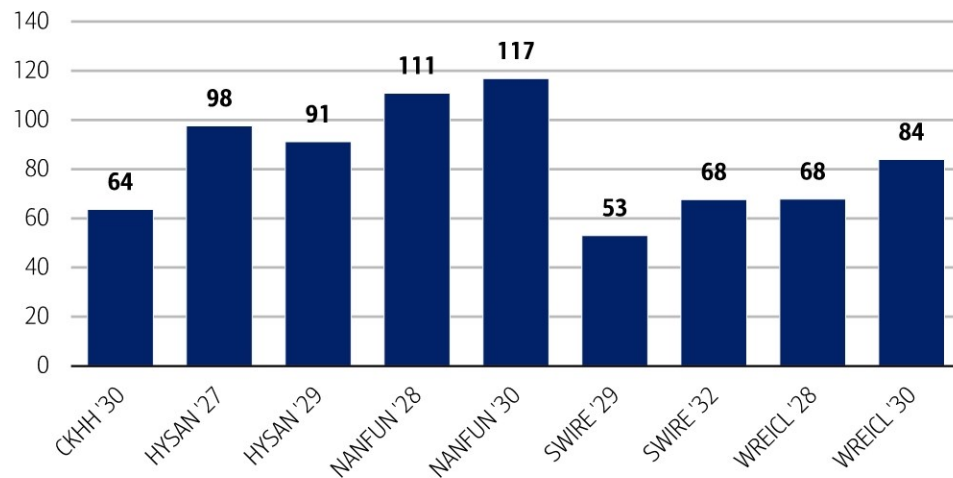


Source: Bloomberg, BofA Global Research

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Exhibit 5: Z-spread (bp) of benchmark bonds for select Hong Kong IG Property issuers

The average z-spread of benchmark bonds widened 3bp WoW on average basis.

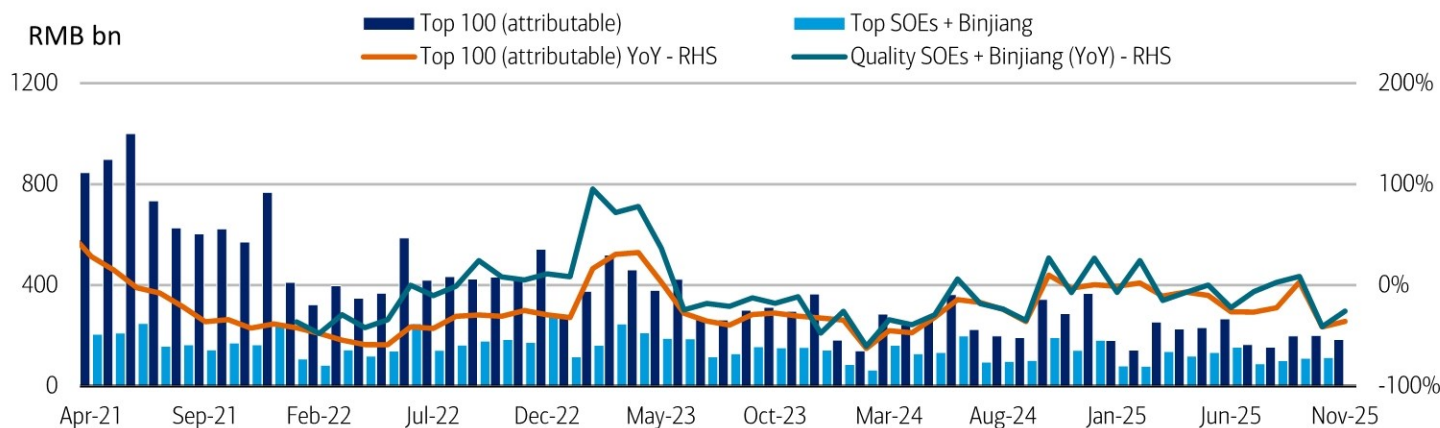


Source: Bloomberg, BofA Global Research

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Exhibit 6: Top 100 developers contracted sales trend

Top-100 developers' contracted sales value (attributable) was down by 36% YoY in Nov.



Source: CRIC; BofA Global Research

Top SOE developers: COLI, CRL, Poly, CMSK, C&D, Yuexiu, Jinmao

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Exhibit 7: Dictionary for equity tickers

Below are the company names of related equity tickers

Equity tickers	Company name
16 HK	Sun Hung Kai Properties (SHKP)
66 HK	MTR Corp
2202 HK	Vanke
1686 HK	SUNeVision
002244 CH	Binjiang
001979 CH	China Merchants Shekou (CMSK)
688 HK	China Overseas Land & Investment (COLI)
1109 HK	China Resources Land (CR Land)
1908 HK	C&D Int'l
817 HK	Jinmao
960 HK	Longfor
3990 HK	Midea
600048 CH	Poly Real Estate
1030 HK	Seazen
1918 HK	Sunac
123 HK	Yuexiu Property

Source: BofA Global Research

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Exhibit 8: Dictionary for credit tickers mentioned

Credit tickers mentioned in the report.

Credit Ticker	Company name
CHJMAO	China Jinmao
FTLNHD	New Metro Global Ltd
FUTLAN	Seazen Group Ltd
GRNCH	Greentown China
LNGFOR	Longfor Holdings Ltd
SHUION	Shui On Development Hldg
VNKRLE	China Vanke
YLLGSP	Yanlord Land
CKHH	CK Hutchison
HYSAN	Hysan Development
NANFUN	Nan Fung Development
SWIRE	Swire Pacific Ltd
WREICL	Wharf REIC

Source: BofA Global Research

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Valuation & risk

Lai Sun MTN Ltd (LASUDE)

We are OW LASUDE '26 which can offer an attractive alpha opportunity amid the HK property market recovery. Our OW is driven by (1) improved visibility on potential liability management exercise (LME) terms, (2) still compelling 4-9pt upside based on reported LME terms, and (3) c.1x interest coverage with gradual deleveraging backed by further asset & property sales. We also acknowledge the company's commitment to addressing its debt & liquidity issues, reflected by its proactive asset sales.

Downside risks to our recommendation: (1) meaningful fundamentals deterioration, (2) poor LME terms, (3) weak property sales, (4) unsuccessful loan refinancing, (5) limited/ untimely asset disposals, (6) lack of willingness to tackle debt/ liquidity issues, (7) material support to subsidiaries, and (8) hard default

Upside risks to our recommendation: (1) significant fundamentals improvement, (2) very friendly LME terms, (3) strong property sales, (4) strong funding access, and (5) timely and meaningful asset sales

Analyst Certification

We, Karl Choi, CFA and Sirius Chan, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.



Security/Loan pricing

Lai Sun MTN Ltd. / LASUDE

	Amt		Ratings	Next call				YTW ^{R1}	STW
Security		Maturity date	Moody's/S&P/Fitch	Call date	Call price	Price	Price date	(%)	(Govt+bps)
5.0, USD, 2026:B	493	28-Jul-2026	NR/NR/NR			85.00	09-Jun-2026	123.19	11,911

For pricing information refer to "Other Important Disclosures" below.

^{R1}For loans, YTW reflects yield to maturity. Floating rate loan yields use forward swap curve.

B=Bond; L=Loan; CS=Capital Security (Not including Equity Preferred); CDS=Credit Default Swap; EP=Equity Preferred

Disclosures

Important Disclosures

Credit opinion history

Lai Sun MTN Ltd. / LASUDE

Security	Date ^{R2}	Action	Recommendation	Price
5.0, USD, 2026:B	31-May-2025		Overweight	
	12-Mar-2026	Downgrade	Marketweight	88.63
	03-Jun-2026	Upgrade	Overweight	85.00

Table reflects credit opinion history as of previous business day's close.^{R2}First date of recommendation within the last 36 months, if for an issuer or within the last 12 months, if for a security or loan. The investment opinion system is contained at the end of the report under the heading "BofA Global Research Credit Opinion Key."

Pricing information in the table is provided for each action where available. In the case of bonds, loans, capital securities and equity preferreds, the price shown reflects the nominal cash price for the security; and in the case of CDS, the price shown reflects the spread, on the date of the relevant action.

B=Bond; L=Loan; CS=Capital Security (Not including Equity Preferred); EP=Equity Preferred; CDS=Credit Default Swap

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Buy	130	38.92%	Buy	115	88.46%
Hold	158	47.31%	Hold	137	86.71%
Sell	46	13.77%	Sell	39	84.78%

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R4}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R4} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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